

LoanServe — Frequently Asked Questions on Servicing

Document reference FAQ-SRV-018 · Effective 2025-04-01

Scope and Application

This page answers the questions most often asked after a loan has been disbursed. It is a summary written in plain words and does not replace the policy documents it refers to. Where this page and a policy differ, the policy governs. The answers here apply to every retail product unless a product is named.

Statements and Certificates

An interest certificate for income tax purposes is issued after the close of each financial year. A statement of account can be downloaded from the customer portal at any time free of charge. A physical statement requested at a branch attracts a charge of Rs 200.

Instalment Servicing

The instalment due date may be changed once in a financial year to the 1st, 5th, 10th or 15th of the month. A change of instalment due date takes effect from the following billing cycle.

Account Changes

A change of registered bank account for instalment debit requires a fresh mandate and takes twenty one days to activate.

Closing a Loan Early

A borrower who wants to close a loan before the end of its tenure should ask the servicing desk for a foreclosure quotation. The quotation shows the outstanding principal, the interest to the intended closure date and any early closure charge that applies. Whether a charge applies depends on the product and on whether the rate is fixed or floating, and the Prepayment and Foreclosure Policy sets this out in full. Once the quotation is paid, the no dues certificate and the release of any security follow within the timelines in the terms for that product.

Payments and Mandates

The instalment is collected by automated debit on the due date recorded on the account. A borrower should keep the balance available a day before the due date, because a debit presented and returned attracts a bounce charge. A mandate may be moved to another bank account by submitting a fresh mandate, which takes twenty one days to activate. During those twenty one days the borrower must pay the instalment by another means.

When Something Goes Wrong

A borrower who expects to miss an instalment should tell the servicing desk before the due date rather than after it. Relief may be available under the Moratorium and Restructuring Policy where the difficulty is documented. Recovery contact is restricted to the permitted hours and to the numbers recorded on the account. A borrower who considers the contact improper may complain under the Grievance Redressal Policy.

Definitions

'Billing cycle' means the monthly period ending on the instalment due date recorded against the account. 'Interest certificate' means the annual statement of interest paid, issued for income tax purposes after the financial year closes.

Exceptions and Discretion

The instalment date may be changed once in a financial year and only to one of the dates offered. A statement for a period earlier than eight years may not be available. A duplicate interest certificate is issued against the charge set out in the terms for the product. Any exception is recorded on the account file.

Records and Evidence

Statements, certificates and mandate records are retained for eight years from closure. Recordings of service calls are retained for one year unless a complaint preserves them for longer. A borrower may ask for a list of every charge levied in a financial year and it is provided free of charge.

Related Policies

The Frequently Asked Questions on Servicing should be read with: Prepayment and Foreclosure Policy, Top-Up Loan Rules, Balance Transfer Policy.

Regulatory and Compliance Notes

This page follows the requirement that a borrower be able to obtain a statement of account and an interest certificate without difficulty. Security documents are released within thirty days of full repayment, and any delay beyond that attracts compensation to the borrower. A borrower is told of any change in a charge at least thirty days before it takes effect.

Review and Governance

This page is maintained by the Servicing desk and is reviewed each financial year alongside the statement formats.